5.2.2 Definitions

Many economists developed definition for money. Among these, definitions of Walker and Crowther are given below:

" Money is, what money does"

- Walker.

"Money can be anything that is generally acceptable as a means of exchange and at the same time acts as a measure and a store of value".

–Crowther

5.2.3 Evolution of Money

Barter System

The introduction of money as a medium of exchange was one of the greatest inventions of mankind. Before money was invented, exchange took place by Barter, that is, commodities and services were directly exchanged for other commodities and services. Under the barter system, buyers and sellers of commodities had to face a number of difficulties. Surplus goods were exchanged for money which in turn was exchanged for other needed goods. Goods like furs, skins, salt, rice, wheat, utensils, weapons, etc. were commonly used as money. Such exchange of goods for goods was known as "Barter Exchange" or "Barter System".



The history of Barter system starts way back in 6000 BC

- Barter system was introduced by Mesopotamia tribes.
- Phoenicians adopted bartering of goods with various other cities across oceans.
- Babyloninan's also developed an improved barter system, where goods were exchanged for goods.

Metallic Standard



After the barter system and commodity money system, modern money systems evolved. Among these, metallic standard is the premier one. Under metallic standard, some kind of metal either gold or silver is used to determine the standard value of the money and currency. Standard coins made out of the metal are the principal coins used under the metallic standard. These standard coins are full bodied or full weighted legal tender. Their face value is equal to their intrinsic metal value.

Gold Standard



12-Economics-Chapter_5.indd 77 05-02-2020 12:47:31